

		Defendant has not shown an important countervailing interest in records for that period. On <u>Motion 2</u>, to the extent that the RFPs at issue purport to extend to non-parties, the Motion is DENIED. Otherwise, for the reasons discussed above, the Motion is GRANTED as to RFP No. 11, except to the extent that it potentially extends to Plaintiffs’ tax records, but DENIED as to RFP No. 13. Defendant’s evidentiary objections, filed as ROA 141, are SUSTAINED [lack of foundation, best evidence, hearsay]. Plaintiffs are to provide verified supplemental responses in accordance with the foregoing rulings, along with a further production for any remaining responsive non-privileged documents, within 25 days after service of notice of these rulings. Counsel for Defendant is ordered to give notice of this ruling.
7	30-2022-01291617 Johnson vs. Bruns	The Demurrer to the Verified Shareholder Derivative Complaint filed by Defendant Kendal Bruns, erroneously sued as Kendall Bruns (“Defendant”) is SUSTAINED with 20-days leave to amend as to the fifth cause of action and OVERRULED as to all other causes of action. Defendant demurs generally to the entire complaint based on Corporations Code § 800(b)(2) and Plaintiff’s failure to bring his demands to the board. Corporations Code § 800(b)(2) provides that plaintiff must alleges with particularity “plaintiff’s efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort.” To evaluate a demand futility claim in a shareholder derivative action, court must be apprised of facts specific to each director from which it can conclude that that particular director could or could not be expected to fairly evaluate claims of shareholder. (<i>Shields v. Singleton</i> (1993) 15 Cal.App.4th 1611.) Here, Plaintiff alleges he made no demand on the board “for the reason that such a demand would be futile in that there are only two directors and two co-equal shareholders, and Defendant Bruns knew of and participated in the wrongs alleged in this Complaint.” (Complaint ¶ 6.) Plaintiff has sufficiently pled futility in bringing his demand to the board, as the only two

		shareholders are Plaintiff and Defendant Bruns. As such, the general demurrer is OVERRULED. First Cause of Action- Breach of Fiduciary Duty Defendant demurs to the first cause of action, arguing the Complaint does not allege a breach of a fiduciary duty and only alleges in conclusory terms that such a relationship existed. However, the complaint alleges that Defendant is a director of KBNJ, Inc., a California corporation in which he was also a 50% shareholder (Complaint ¶ 32, 16.) Corporations Code § 309(a) establishes the fiduciary obligations of a corporate director: “A director shall perform the duties of a director, including duties as a member of any committee of the board upon which the director may serve, in good faith, in a manner such director believes to be in the best interests of the corporation and its shareholders and with such care, including reasonable inquiry, as an ordinarily prudent person in a like position would use under similar circumstances.” The Complaint alleges Defendant withdrew money from KBNJ, Inc. for himself beyond reimbursement, “stole KBNJ’s tools and equipment,” and compromised KBNJ’s ability to pay its bills and expenses. (Complaint ¶¶ 34-38.) The complaint sufficiently alleges breach of Defendant’s fiduciary duty as a corporate director. As such the demurrer to the first cause of action is OVERRULED. Second Cause of Action- Unjust Enrichment As to the second cause of action for unjust enrichment, Plaintiff must plead receipt of a benefit and unjust retention of the benefit at the expense of another. (See <i>Lectrodryer v. SeoulBank</i> (2000) 77 Cal.App.4th 732, 726.) Defendant asserts that unjust enrichment is not a cause of action, but rather a remedy. “Generally, one who is unjustly enriched at the expense of another is required to make restitution. (<i>First Nationwide</i>, 11 Cal.App.4th at p. 1662, 15 Cal.Rptr.2d 173; see also Rest.3d Restitution and Unjust Enrichment, § 1.)” (<i>Professional Tax Appeal v. Kennedy-Wilson Holding, Inc.</i> (2018) 29 Cal.App.5th 230, 238.) The Complaint alleges that Defendant took money he was not entitled to and is in receipt of “benefits and unjust retention of benefits at the expense of KBNJ” including the seized tools. (Complaint ¶¶ 41-42.) The cause of action for unjust enrichment is therefore adequately pled and the demurrer is OVERRULED.
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		Third Cause of Action- Abuse of Control and Fourth Cause of Action- Gross Mismanagement Defendant argues that these causes of action are vague and ambiguous and do not assert that Defendant has committed “persistent and pervasive” fraud, mismanagement or abuse of authority or persistent unfairness toward any shareholder; or the corporation's property is being misapplied or wasted by its directors or officers. (Corps. Code § 1800(b)(4); <i>Buss v. J.O. Martin Co.</i> (1966) 241 Cal.App.2d 123, 134-135.) Defendant argues that the allegations of abuse of control and mismanagement fail because Bruns is a 50% shareholder, but provides no legal authority for this position. Defendant asserts Plaintiff has not alleged actions resulting in damage or how the actions had no rational business purpose. The allegations throughout the complaint, and adopted into the third and fourth causes of action, allege Defendant engaged in “a fraudulent scheme” where he would reimburse himself without accounting for the cash he kept, looting the bank account and collected cash, and taking tools despite their purchase being reimbursed by the business. (Complaint ¶¶ 20-27.) As such, the Complaint asserts “persistent and pervasive” fraud, mismanagement or abuse of authority. As such the demurrer to the third and fourth causes of action are OVERRULED. Fifth Cause of Action- Corporate Waste While listed in the caption of the complaint, no fifth cause of action is pled in the body of the Complaint and the causes of action jump from the fourth to the sixth. As such the demurrer to the fifth cause of action is SUSTAINED with 20-days leave to amend. Sixth Cause of Action- Violation of Business and Professions Code § 17200 et seq. (Unfair Competition Law or “UCL”) Defendant argues that there are no allegations that his conduct was immoral, unethical, or otherwise substantially injurious to customers or Plaintiff. Defendant again relies on his position that the claim is without merit because he is a 50% shareholder of the corporation but, again, provides no legal basis for this claim. Further, the Complaint alleges that Defendant's acts were “unfair and fraudulent”, in that he took over \$200,000 in unwarranted distributions without
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		accounting and stole tools from the business without permission of the other 50% shareholder. As such, the claim for violation of the UCL is sufficiently pled and the demurrer is OVERRULED. Seventh Cause of Action- Theft under Penal Code § 496 Defendant cites to the elements of theft and a description of the crime of theft, only to reach the conclusion that “such conclusory allegation fails as to BRUNS” with no further argument or elaboration. The Complaint alleges Defendant “took tools and equipment outside the scope of Plaintiff’s permission”, that the “theft of tools and equipment was not permitted or consented to by Plaintiff KBNJ, Inc.” and that Defendant also “took money belong [sic] to the corporation”. These are not conclusory allegations, but rather factual allegations supporting Plaintiff’s assertion of a cause of action for theft under Penal Code § 496. Accordingly, the demurrer is OVERRULED. Ninth Cause of Action- Declaratory Relief “To qualify for declaratory relief, [a party] would have to demonstrate its action presented two essential elements: ‘(a) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions related to [the party’s] rights or obligations.’” (<i>Jolley v. Chase Home Finance, LLC</i> (2013) 213 Cal.App.4th 872, 909, quoting <i>Wilson & Wilson v. City Council of Redwood City</i>, (2011) 191 Cal.App.4th 1559, 1582). Defendant asserts that here, the controversy as to any money taken by Defendant is not ripe, however Defendant does not elaborate on this position. As such, the demurrer is OVERRULED. Moving party is ordered to give notice of this ruling.
8	30-2022-01281322 Bruns vs. Johnson	Case Management Conference Only
9	30-2022-01295439 Hensley Electric, Inc. vs. RND Genetics, LLC	The Opposition by judgment creditor Hensley Electric, Inc. to the Claim of Exemption filed by judgment debtor Richard Santos is DENIED. Here, debtor Richard Santos is making a claim of exemption under CCP §706.051. Pursuant to Code of Civil Procedure section 706.105, subdivision (a), a Judgment Debtor may